



ONE ELEVEN CRM

When the reduced VAT is approved, the CRM does the paperwork

A buyer starts paying at the standard VAT of 19% while their application for the reduced rate is being decided. When it is approved, the VAT they paid over is not refunded: it is credited against their next installments. The CRM works all of this out and issues every document by itself. Two worked examples follow.

EXAMPLE 1

5% on the whole price

EXAMPLE 2

5% on part, credit covers a whole stage

THE RULE

Four steps, done by the CRM the moment the office presses Approve

The office opens the contract, goes to the card “VAT on this sale” and enters the approval: the date, the part of the price that qualifies, and the rates. Everything else below happens automatically.

1

The price stays

Every stage keeps its amount before VAT exactly as signed in the Contract of Sale. Only the VAT on each stage changes.

2

Old invoices are cancelled

Each invoice already issued at 19% is cancelled by a Credit Note that names it. The original is kept, and a copy stamped CANCELLED is filed beside it.

3

New invoices are issued

A new invoice at the new VAT is issued for the very same payment, so the buyer's file and ours match line for line.

4

The difference is a credit

The VAT paid over is not paid back. It is placed on the next installments, in order, until it is used up. The buyer simply pays less next time.

Safe by design. If anything interrupts the approval, the CRM finishes the missing steps by itself the next time the contract or the client is opened, and again before the next payment is saved. Nothing is done twice. On a sale that already has payments, the VAT can only be changed through this card, never by editing the contract, so the paid invoices are always credited properly.

EXAMPLE 1

Reduced VAT of 5% on the whole price of €200,000

The buyer paid the Reservation and the Signing at 19%. Then the 5% is approved.

Stage	Before VAT	Total at 19%	Paid	New total	Paid over
Reservation	€5,000	€5,950	€5,950	€5,250	€700
On signing of the contract	€50,000	€59,500	€59,500	€52,500	€7,000
Completion of the Structure	€38,000	€45,220	not yet	€39,900	
Completion of the Brickwork	€30,000	€35,700	not yet	€31,500	
Completion of the Tiling	€27,000	€32,130	not yet	€28,350	
Completion of the Aluminium	€25,000	€29,750	not yet	€26,250	
Completion of the Property	€25,000	€29,750	not yet	€26,250	
Total	€200,000	€238,000	€65,450	€210,000	€7,700

PAID AT 19%
€65,450

less

OWED AT 5%
€57,750

=

CREDIT FOR THE BUYER
€7,700

EXAMPLE 1, THE NEXT PAYMENT

The credit goes straight to Completion of the Structure

STRUCTURE AT 5%
€39,900

less

CREDIT
€7,700

=

THE BUYER PAYS
€32,200

On the Structure the CRM already shows €7,700 paid, and the payment form asks for €32,200. The office records the payment as usual.

Document	What it says	Amount	State
Invoice 0016	Reservation at 19%, issued with the payment	€5,950	Cancelled, stamped copy filed
Invoice 0017	Signing at 19%, issued with the payment	€59,500	Cancelled, stamped copy filed
Credit Note 0001	Cancels invoice 0016 in full	€5,950	Credit note
Credit Note 0002	Cancels invoice 0017 in full	€59,500	Credit note
Invoice 0018	Reservation again, at 5%, replaces 0016	€5,250	Standing
Invoice 0019	Signing again, at 5%, replaces 0017	€52,500	Standing
Invoice 0020	Structure €39,900, less credit €7,700, paid €32,200	€39,900	Standing
Receipt	For the €32,200 actually received	€32,200	Emailed to the buyer

The contract total drops from **€238,000** to **€210,000**. The office sends the credit notes, stamped copies and new invoices to the buyer in one email with one click. Invoice numbers are examples; the CRM continues the office's own series.

EXAMPLE 2

5% on €350,000 of a €400,000 price, and a credit bigger than the next stage

Only part of the price qualifies for the reduced rate. So every stage is split the same way: 87.5% of it at 5% and 12.5% at 19%, which works out at 6.75% on each stage. The buyer paid the Reservation and the Signing at 19%.

Stage	Before VAT	Total at 19%	Paid	New total	Paid over
Reservation	€10,000	€11,900	€11,900	€10,675	€1,225
On signing of the contract	€110,000	€130,900	€130,900	€117,425	€13,475
Completion of the Structure	€10,000	€11,900	not yet	€10,675	
Completion of the Brickwork	€70,000	€83,300	not yet	€74,725	
Completion of the Tiling	€60,000	€71,400	not yet	€64,050	
Completion of the Aluminium	€60,000	€71,400	not yet	€64,050	
Completion of the Property	€80,000	€95,200	not yet	€85,400	
Total	€400,000	€476,000	€142,800	€427,000	€14,700

PAID AT 19%
€142,800

less

OWED AT THE NEW VAT
€128,100

=

CREDIT FOR THE BUYER
€14,700

EXAMPLE 2, WHERE THE CREDIT GOES

The credit pays the Structure in full, and the rest moves on

Completion of the Structure

STAGE AT NEW VAT

€10,675

less

CREDIT USED

€10,675

Fully covered by the credit. The buyer pays nothing for this stage. The CRM issues its invoice marked **Settled by credit**, so the stage shows as paid.

Completion of the Brickwork

STAGE AT NEW
VAT

€74,725

less

CREDIT
LEFT

€4,025

=

THE BUYER
PAYS

€70,700

The €4,025 that was left after the Structure is placed here. The payment form asks for €70,700, and the invoice shows the full stage with the credit used.

CREDIT

€14,700

=

STRUCTURE

€10,675

+

BRICKWORK

€4,025

The contract total drops from **€476,000** to **€427,000**. As in Example 1, the two invoices at 19% are cancelled by credit notes, stamped copies are filed, and new invoices at the new VAT replace them. No money goes back to the buyer: every euro of VAT paid over is used on the stages that follow.

IN SHORT

What the office does, and what the CRM does

The office

1. Opens the contract and goes to “VAT on this sale”.
2. Enters the approval date, the part of the price that qualifies and the rates, and presses Approve.
3. Sends the credit notes and new invoices to the buyer with one click.
4. Records the next payment as usual. The form already asks for the right amount.

The CRM, automatically

Works out the new VAT on every stage, with the price before VAT unchanged.

Issues a Credit Note for every invoice at 19%, files a stamped CANCELLED copy and issues the replacement invoice.

Calculates the VAT paid over and places it on the next stages, in order, even across more than one stage.

Issues the invoice and the receipt for each new payment, showing the credit used, and emails them to the buyer.

Nothing is lost and nothing is deleted. Every original invoice stays on the record, every credit note names the invoice it cancels, and the totals on the contract always equal the money actually received.